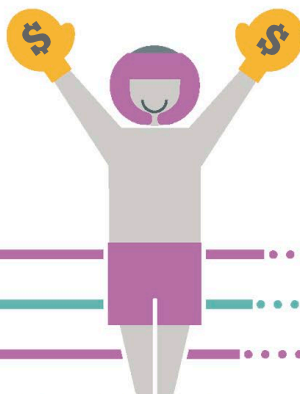




US\$5.3
trillion
the typical
value of foreign
exchange trades
made each day

Bank actions

When a country's central bank expects the currency's value to drop, it tries to shrink the money supply.



INCREASING THE INTEREST RATE

Raising the interest rate attracts investors to buy the country's currency as they will benefit from the higher rate of interest.

SELLING FOREIGN RESERVES

Selling foreign reserves and retaining domestic currency increases demand for the domestic currency.

Strong currency

Several economic factors can signal a booming economy, and boost demand for the country's currency and increase its value.

HIGH INTEREST RATES

Higher rates attract foreign investors and increase the value of the currency.



STABLE INFLATION

Stable or falling inflation can help to boost the value of the local currency.



RISING GDP

High production rates demonstrate demand for a country's products, and thus its currency.



LOW UNEMPLOYMENT

Employment is linked to GDP, indicating that a country's products are in demand.



HIGH CONFIDENCE

Confidence in a nation's economy can be enough to keep its currency buoyant.



THE IMPORTANCE OF RESERVE CURRENCY

Reserve currency is a recognised safe foreign currency held by a country's central bank and financial institutions and used to make trade payments. Using the reserve currency avoids the need to change payments into local currency, minimizing the exchange-rate risk for both countries. Many central banks set a reserve ratio – the percentage of deposits that the bank must hold. The US dollar is the currency most commonly held in reserves worldwide.

